EGERTON UNIVERSITY

UNIVERSITY EXAMINATIONS

NJORO CAMPUS

SECOND SEMESTER, 2019/2020 ACADEMIC YEAR

FIRST YEAR EXAMINATIONS FOR THE DEGREES OF BACHELORS OF ARTS (ECONOMICS & HISTORY, ECONOMICS & SOCIOLOGY, GENERAL) AND BACHELORS OF SCIENCE (ACTUARIAL SCIENCES, AGRIBUSINESS MANAGEMENT, AGRICULTURAL ECONOMICS, AGRICULTURAL ENGINEERING, ECONOMICS & STATISTICS & FOOD SCIENCE & TECHNOLOGY)

ECON 121- PRINCIPLES OF MACROECONOMICS

STREAM: BA (GEN, ECON/HIST & ECON/SOCI), BSc (ACTSCI, AGBM, AGEC, AGEN, ECON/STAT, & FOST) **TIME: 2 HRS**

EXAMINATION SESSION: NOVEMBER **YEAR: 2020**

INSTRUCTIONS:

1. Answer Question ONE and any other two questions. Question one carries 30 Marks and the rest 20 Marks each.
2. Clearly show all your workings.
3. Be clear and precise in your answers.
4. Do NOT write on the question paper.
5. All phones and other electronics retrieval devices SHALL remain switched off for the duration of the exam

QUESTION ONE **(30 MARKS)**

a) Clearly distinguish between the following paired concepts in Macroeconomics.

i. Microeconomics and Macroeconomics **(2 marks)**
ii. Cost-Push inflation and demand-pull inflation **(2 marks)**
iii. Monetary policy and fiscal policy **(2 marks)**
iv. Current Account and Capital Accounts **(2 marks)**
v. IS Curve and LM curve **(2 marks)**

b) Using diagram(s), describe the circular flow of income in an open economy. **(5 marks)**

c) Explain the following methods of National Income Accounting:

i). Expenditure. **(2 marks)**
ii). Income. **(2 marks)**

d) State the uses of national income statistics. **(5 marks)**

e) What are the weaknesses/limitations of National Income Accounting? Outline. **(6 marks)**

QUESTION TWO **(20 MARKS)**

Given the following macroeconomic model of Kenya:

$E = C + I + G + X - M$	where:
$S = -100 + 0.2Y^d$	S – Savings function
$Y^d = Y - T$	Y^d – Disposable income
$T = 100 + 0.25Y$	T – Tax function
$I = 120$	I – Investment expenditure
$G = 150$	G – Government expenditure
$X = 200$	X – Export expenditure
$M = 50 + 0.2Y$	M – Import function

Required:

a) Explain the savings function. **(2 marks)**

b) Derive the consumption function. **(1 mark)**

c) Using diagrams, illustrate the relationship between savings and consumption function. **(3 marks)**

d) Calculate the following:

i. Average propensity to consume. **(1 mark)**

ii. Average Propensity to Save. **(1 mark)**

iii. Average Propensity to import. **(1 mark)**

iv. Tax at equilibrium income. **(2 marks)**

e) Is Kenya experiencing surplus or budget deficit? Explain. **(2 marks)**

f) What is the size of the government expenditure multiplier in this economy? **(1 mark)**

g) Interpret the multiplier derived above. **(2 marks)**

h) What are the determinants of the multiplier? **(2 marks)**

i) Assuming a full employment income of 1,000, is the equilibrium income inflationary or deflationary? Give reasons. **(2 marks)**

QUESTION THREE **(20 MARKS)**

a) Given the model below:

$C = 25 + 0.75Y^d$	Where;	C – Consumption function
$I = 50 - 100R$		I – Investment function
$M^s = 60$		M^S – Money supply
$M^D = 2Y - 10R$		M^D – Money demand function
$T = 25 + 0.3Y$		T – Tax function
$G = 45$		G – Government expenditure

i. Briefly explain, by use of diagrams (s), the IS and LM curves. **(2 Marks)**

ii. Derive the IS and LM equations. **(4 Marks)**

iii. Compute the equilibrium R and Y. **(2 Marks)**

iv. What causes shifts in IS and LM curves? Briefly explain. **(4 Marks)**

b) Derive the IS curve using the four-quadrant diagram. **(8 Marks)**

QUESTION FOUR **(20 MARKS)**

a) State the characteristics of good money. **(5 Marks)**

b) Explain how inflation affects the functions of money in an economy. **(10 Marks)**

c) What are the causes of a deficit on the balance of payments account? **(5 marks)**

QUESTION FIVE **(20 MARKS)**

a) State the objectives of monetary policy. **(5 Marks)**

b) Explain the instruments of monetary policy. **(10 Marks)**

c) What are the likely effects of inflation in an economy? **(5 Marks)**

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